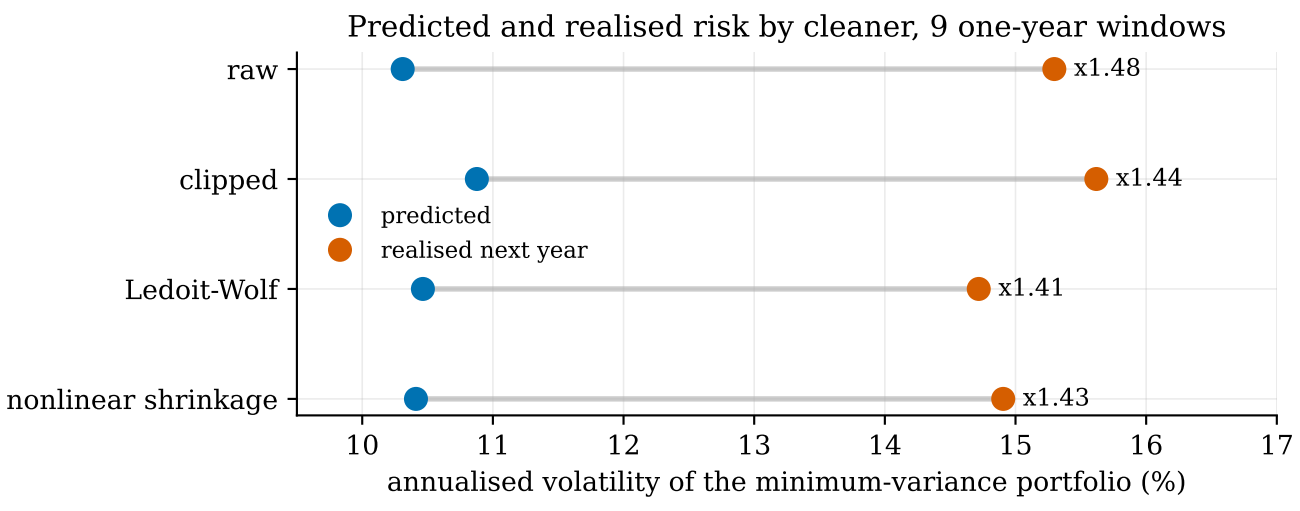
Predicted and realised risk by cleaner, 9 one-year windows
raw
clipped
Ledoit-Wolf
nonlinear shrinkage
x1.48
x1.44
x1.41
x1.43
predicted
realised next year
10
11
12
13
14
15
16
17
annualised volatility of the minimum-variance portfolio (%)